Commentary

1st Quarter 2010 Market Commentary

By Steven Bregman

Prefatory Remarks

This is the 1st quarter commentary of 2010. It is also the anniversary of the 1st quarter commentary of 2009. One might recall the condition of the financial markets and the public psyche at that time:

- The nation's, even the world's, financial and banking systems, were perhaps on the verge of collapse.
- Long-term investments – stocks, corporate bonds, municipal bonds, real estate, commodities – should be sold while they still retained value.

For our part, we noted, 52 weeks ago, a few among the many economic measures of which one might have taken notice, yet which were absent from the anxious public discourse:

- That as of April 1st 2009, both the aggregate assets and balance sheet equity of the nation's commercial banks were actually higher than in March of 2008. Remarkable, no?

- That deposits of failed banks, the economic value of those deposits, don't simply disappear; they are merely acquired by stronger banks. Thus, economic activity continues; share prices cannot contract inexorably against rising economic value.

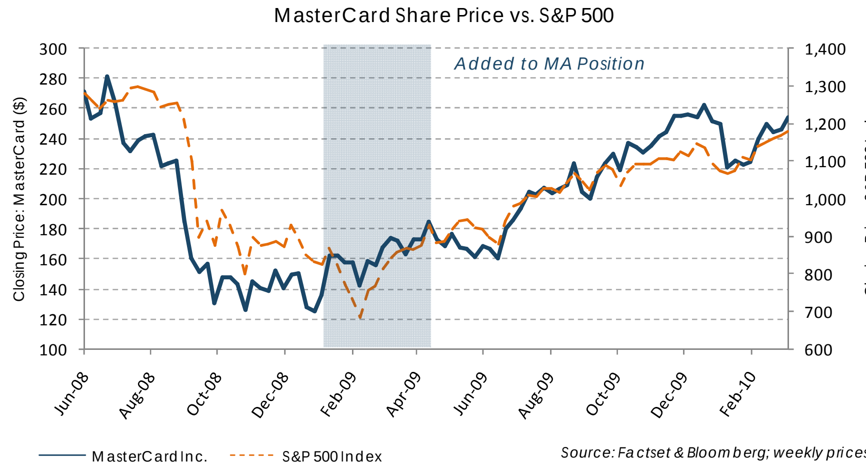
- That China not only hadn't collapsed, but that auto sales there reached an all-time record in March 2009, and that residential property sales in China were 8.2% above the prior year's 1st quarter.

- That the operative question was not ***whether*** the recession would end, but in which companies and businesses one would wish to be invested pending the time when the extreme discount rates, reflective of the extreme negative outlook, would begin to return to normal. That process has only just begun – despite common commentary that the market is either fairly- or over-valued.

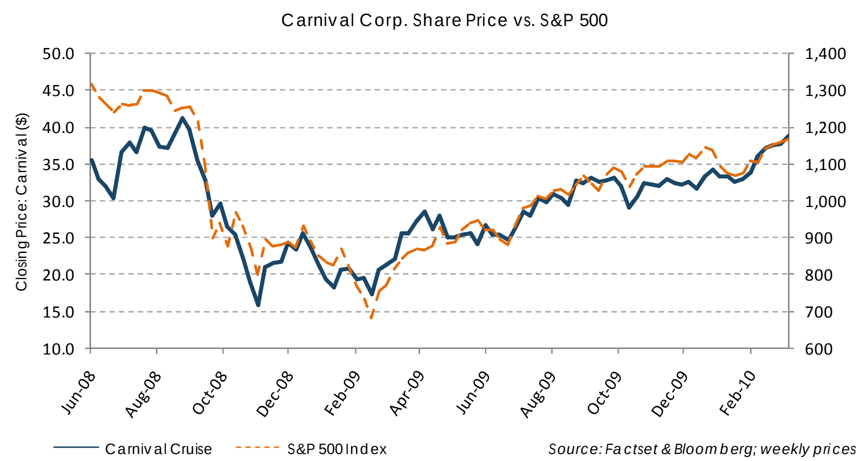
Accordingly, we did not sell our long-term holdings; we did not even trade very much among them. Our turnover in 2009 was on the order of 16%, which was consistent with our philosophy, our historical practice, and with our analysis. We continued to hold securities about which we were often pointedly questioned simply because their share prices had declined so sharply. These would include what have been, during the past six months or so, the best performing stocks in the portfolios.

Using an example from the Core Value portfolio, MasterCard was originally purchased in mid-2008 at roughly $270 per share, depending, of course, on the account. During the "Global Margin Call" of late 2008/early 2009, MasterCard's share price contracted to below $120, or by 56% from our cost. One can easily imagine why it dropped so much more than the market – the superficial association with credit card lending, even though MasterCard is not a lender, but a transaction processing croupier.

Were we troubled by this? I confess that during the 2008/2009 period neither my business partner Murray Stahl nor I ever, with all that there was to talk about, discussed MasterCard with respect to any concern about the company's business model, finances, or worry for its future. I did, however, add to the position when the shares had declined by some 40%. Naturally, the shares declined by another 25%. Nevertheless, the stock has since risen by 120% from the bottom and is now, at $263, actually somewhat ahead of the S&P 500, if counted from the initial purchase price of $270. However, since the second purchase reduced our average cost to roughly $200, the investment is really up some 25% during the past couple of years.



Another illustrative example is our position in Carnival Corporation, the largest and likely the best capitalized cruise line operator in the world. We acquired this at around $35 per share in mid-2008 as a value-oriented investment after it had declined from previous 2007 highs in the low 50's. Nevertheless, the ultimate low, if you can imagine, was less than $16, amounting to a peak to trough decline of almost 70%. The decline was easily rationalized alongside the "presumed death of the U.S. consumer" rhetoric attached to most consumer related stocks and the reluctance to travel. Coincident was the issue of financing the new mega class ships that cost $100's of millions, appropriately labeled as the *Dream Class*, while the world's lending windows closed. How easy it would have been in that environment to sell this eyesore, produce a tax loss asset for future use, and find another rock in the stream to hop onto.



In any event, it appears people still enjoy cruising the world's oceans and Carnival was able to internally finance, through cash flows, both its near term debt maturities and ship deliveries. Carnival is now nearing $40, which means it has more than doubled from its lows.

Of course, these two examples are drawn from one end of the spectrum of holdings, in order to make a point. We couldn't even have discussed this several months ago, since it hadn't yet happened. It's simply that enough time passed. There are other holdings in the portfolio that are well below their cost, have not appreciated mightily, yet which, by our evaluation, have every bit as much appreciation potential. Examples might include Reliant Energy or Beijing Capital International Airports. When will it happen? We believe in due time.

New Holdings

So here we are, we with our five-year holding period, and as is typically the case every 90 days or so, we are asked to comment about specific sectors and companies, about any near term catalysts. These questions are more often asked whenever the share price has not advanced much or as much as the market or, worse yet, declined. And we are expected to answer as to the reasons why. Generally speaking, though, the answer lies not with us, but with other investors. They, for a time, like or don't like a given security.

Now, although I am being asked short-term questions, I will tend to give long-term answers. That is, I will answer predominantly through the prism of one of our central investment tenets, and one of our prime advantages, which is the prism of the equity yield curve. This is the willingness to wait for prices of securities to come into equilibrium with their underlying economic value, where that value is not presently recognized – or, often enough, where it is recognized yet unattractive to the broader community of investors because the expected value recognition is too far in the future.

First, though, as is custom, we must review new positions established in the last quarter of 2009; these were alluded to in the year-end commentary, but as they were then being purchased, we couldn't name them. While we are optimistic about their business models and profit potential, we ourselves won't know which will be the true contributors and which will be the laggards. Time and compounding will inform us.

I'll proceed in chronological order.

Grupo Televisa In October, we purchased Grupo Televisa. No, it's not a Canadian Oil Sands company, it's not a securities exchange, nor is it China- or Hong Kong-based. Grupo Televisa is the Mexican media company. While its base is Mexico, where it has over a 70% share of the broadcast television market, as well as dominant shares of the cable, satellite television and magazine publishing sectors, it is much more than that. It is the largest media company in the Spanish speaking world. Among other activities, it produces pay TV channel content – over 60,000 hours of annual programming, if one can actually visualize that quantity – which is sold in some 60 countries. That includes critical content for Univision, the leading Spanish-language media company in the U.S., which serves the most rapidly expanding population in the U.S.

Grupo Televisa is a representative of a critical shift occurring globally, and not merely in the entertainment content industry. The entertainment sector is but one facet of the global shift of economic dynamism from the developed to the developing nations, as well as from the western to eastern hemispheres. Now that there are other nations with a suitable demographic and population size to support their own content companies, it's reasonable to presume that we will witness the evolution of non-English, or non-Anglophone, content companies. They are likely to have a much higher rate of return on equity than the Anglophone companies, because they'll be in a position, as far as their local markets are concerned, to displace the Anglophone companies to some degree – which is to say that there should, in principle, be a more ready uptake of the local-language content they produce than that which is produced in English. Maybe we're wrong – perhaps the French and Spanish speaking peoples of the world prefer to see dubbed Sylvester Stallone movies to those with their own idealized heroes and heartthrobs speaking their native tongue

If one studies the results over the past decade, one will observe the dramatic differences in revenue progression between Grupo Televisa and, for example, Disney and Time Warner. Even during the first half of 2009 (the accompanying table was part of our internal review at the time this position was established) revenue expansion continued, whereas revenues declined at the American media companies.

Grupo Televisa produces a high ROE. As is our earnings model for so many companies in this particular period, I would suggest that a return to the profit margin the company produced in 2007, before the Great Recession, applied to the revenues it is likely generate in the coming year or two would produce substantial earnings – that is, we wish to estimate a normalized earnings base. On that basis, Grupo Televisa, as a pre-eminent high-growth media company, is a low-P/E stock.

	Annual Revenue Comparison		
$ mill, except TV: Ps mill	Disney*	Time Warner	Grupo Televisa
1H 09	26,282	13,754	24,093
1H 08	28,398	14,939	21,042
2008	37,843	45,860	49,095
2007	35,510	45,411	42,692
2006	33,747	42,604	40,488
2005	31,374	40,808	33,980
2004	30,752	39,835	31,519
2003	27,061	38,007	25,117
2002	25,329	35,220	23,977
2001	25,120	31,180	20,180
	Annualized % Change in Revenue:		
1H 09 vs 08	(7.4)%	(7.9)%	14.5%
1Yr 08 vs 07	6.5%	1.2%	15.0%
3 Yrs 08 vs 05	6.4%	4.0%	13.2%
7 Yrs 08 vs 01	6.0%	5.7%	13.5%

*Disney: FY end Sep, and 9 mos ended June 09

De La Rue In November, we purchased De La Rue. Despite the name, it is not a French company. It is a British company. And despite being a British company, it has had relatively little to do with Britain or, for that matter, with Europe. De La Rue has made money each and every year of the past one-and-a-half centuries. It might be said to be a money machine. As a separate matter, it is also quite profitable. To clarify the difference, De La Rue prints currency for central banks and government agencies around the world. There might be no other publicly traded company comparable to De La Rue, which believes it has at least a 60% share of currency production among those nations that do not print their own currency.

Aside from being an intriguing investment, De La Rue is also an intellectually interesting answer to the question: if one could actually print money as a business, how profitable would that be? Compared with other companies that produce paper or engage in printing, one would find De La Rue to exhibit far superior profitability characteristics, both as to revenue progression and cyclicality (sales for the six months ended September, for instance, rose by 3%), as well as net profit margins and returns on equity.

Its exposure to emerging markets reflects the circumstance that about 85% of its public sector customers are developing nations – as they must be, since the U.S., Russia, China and most developed nations engage in their own printing – and for good reason. It prints currency for well over 100 developing nation customers. In fiscal 2008, its last normal year for this measure, De La Rue reported a ROE of 33%. I say the last normal year, because in 2009 the company repurchased well over one-quarter of its shares.

In doing so, it more or less erased its book value, which is an accounting more than an economic outcome. Had the stock been owned at the time, this buyback would have noticeably detracted from the portfolio book value, which as you may recall from the year-end review, is one figure that we will periodically keep note of. Therefore, the ROE for the year ended March 2009 was, at 311%, a meaningless number, since the book equity is now so low. Return on the total assets of the company, though, is a meaningful number. This was 16%, and a very high rate of profitability, probably higher than most companies' return on equity. De La Rue, too, is a low-P/E stock.

Lender Processing In December, we purchased Lender Processing, which is very much involved in the mortgage market. It is not a lender, though. Like MasterCard, Lender Processing is really a transaction processing and database company – a form of croupier business model.

Lender Processing is the largest provider of mortgage processing services in the country, processing about 50% of all U.S. residential mortgages. This includes the software, databases and network connectivity that assist lenders and other intermediaries not only in the month-by-month processing of payments, balances, and so forth, but which also automate the mortgage origination process. This has traditionally been a time- and personnel-intensive process, but companies like Lender Processing have digitized much of the enormous quantities of required data, such as the title history of tens of millions of properties. It also provides property valuation, flood zone and property tax status information, closing and lien recording services and so forth. A separate division is the country's largest provider of mortgage management default services for institutions that hold mortgages. As one might infer, this division has been a particular beneficiary of the rising residential mortgage default rates of the past two years.

As to profitability, return on equity, based on free cash flow, was over 60% in 2009. Similar to the circumstance at De La Rue, this is an accounting-based distortion caused by the company's spin-off from Fidelity Information Solutions in 2008. But, like De La Rue, the company's return on ***assets***, at about 13%, is probably about as high as the average company's return on equity. Thus, Lender Processing is a quite profitable business.

As to valuation, this is also a low P/E stock. In fact, since the shares are 10% lower than where we purchased them several months ago, it is now an even lower-P/E stock. Before I'm asked what I plan to do about the price decline, I'll say that it doesn't disturb me in the least. Here's why. Last year, Lender Processing expended about $286 million to repurchase debt and shares, funded entirely by its free cash flow. This year, it may be expected to continue to deploy its free cash flow in this manner. Accordingly, the future value of the company is actually enhanced by a lower valuation, since more shares can be acquired with a given amount of cash flow. It is actually preferable for the shareholder that the shares remain low for an extended period of time – I'm not kidding.

As to compounding and time, consider that this company trades at less than 12x last year's free cash flow. That figure is somewhat an abstraction; what, after all, does a P/E of 11.9x actually mean? The inverse of that figure is 8.4%, which is the free cash flow yield. As an owner of the company, it is as if I earn an 8.4% yield on a bond. That is a much more useful figure. Today, 8.4% is the yield of a junk bond. However, Lender Processing is a blue-chip company. One wouldn't think it should be priced at that discount rate. Moreover, whereas bonds don't appreciate, Lender Processing could repurchase $300 million of its debt per year. If it were to do so, not only would it be debt-free in a few years – which is not necessarily desirable, because it has quite ample interest expense coverage – but, all else equal, its stock market value must almost certainly rise by $300 million per year under those conditions. Moreover, the incremental earnings from repaying one year's worth of debt would add, at the same P/E ratio, about $1.90 to the share price, which is another 5%.

So far, that's about 13.4% per year of appreciation entirely from what might be called endogenous sources, without the benefit of revenue expansion, acquisitions or all the other ordinary sources of earnings growth. And entirely without the benefit of a higher valuation multiple. This, in part, is why I'm unconcerned about the near-term stock price – the value realization for such a company will come about over a multi-year time horizon. Should other investors ultimately favor the company with a more appropriate P/E multiple over the next two to three years, one can readily anticipate extremely high annual returns.

CB Richard Ellis In contrast, CB Richard Ellis, our second real estate related purchase during the past year (the first being Vornado Realty), was just purchased in February and is already about 30% higher. Will it ultimately do better than Lender Processing, Grupo Televisa and De La Rue, which have yet to appreciate at all? I don't know yet. It will take quite a bit of time to know.

CB Richard Ellis is the largest real estate services company in the Americas, as well as in the major commercial real estate centers elsewhere in the world, such as exist in the U.K., Europe, and Asia. It serves primarily large corporations and institutional investors. It has the largest U.S. market shares as leasing agent, in outsourced commercial real estate property and facilities management, in commercial mortgage brokerage, and so forth. Much of this revenue is contractual and recurring in nature, although much of it is transaction based. Certainly, it is exposed to more than the average degree of cyclicality.

To give one a sense of scale, in 2008 (these figures are not in the 2009 annual report), the company advised on over 29,000 lease transactions and over 4,600 real estate sales transactions. It appears that the company, whose market share has been increasing for many years, has achieved a scale such that it has a competitive advantage in advising on and managing property portfolios for large corporate entities with extensive and global operations. A large corporate entity might be, effectively, in the real estate business by virtue of its operating properties, but might not wish to be in that business as to internal oversight and decision making.

As to valuation context, in 2009, CB Richard Ellis's revenues were 19% lower than in 2008, and 32% lower than in 2007, and net income contracted from a margin of over 7% to near zero. The share price, of course, is much lower than in 2008; in fact, it is about the same price at which it traded in 2005. Meanwhile, its revenues, even during this cyclical depression, are higher than in 2005, and it operates on a far wider scale. Whereas in 2005 it had 218 sales offices worldwide, today it has 319. In 2005, the Asia Pacific region accounted for 6.1% of revenues, in 2009 it was 12.6%.

At our purchase price, the shares traded at 32x last year's earnings and 25x Wall Street consensus estimates of 2010 earnings. I don't give that much credence, since I don't know what the basis is for consensus earnings. My perspective runs more along these lines: if the company were merely to return, despite its more expansive base of operations, to the revenues of 2008, much less 2007, and to return to a normal 7.5% margin, then our purchase price was only 10x earnings. Will that take a few months or a few years to manifest itself? That the shares have risen 30% during the past month or two suggests that other investors are looking forward as well, at least with regard to this company. These investors also saw fit, during the four years ended 2007, to pay an average P/E ratio of almost 20x for this company.

There is one additional factor of some importance. This is the company's investment management business, from which it earns asset management fees. In the world of investment management, it is not yet very large, but it has been growing rapidly. In 2005, CB Richard Ellis had $17.3 billion of AUM; in 2009, the figure was $34.7 billion. The value of this business is not fully reflected in the general exercise above.

Perspective – Our energy outlook

We've been asked for our outlook on energy, as if it might have changed during the past 90 days. However, I understand the reason for the question. The financial news media, by the very nature of their reporting, suggest that critical changes are occurring daily and that one must react in some fashion. Moreover, it is not merely reporting; as my partner Murray Stahl has pointed out, they specialize in the use of emotive phraseology that is designed to alter one's emotional – not analytical – posture. I tend to refer to them as personifying the financial markets. Hence, the accompanying selection of headlines, mere random selections from any daily paper's business section. They will have a familiar character:

STOCKS AND BONDS

Dow's Winning Streak Screeches to a Halt

By JAVIER C. HERNANDEZ

Published: March 19, 2010

The Dow Jones industrial average was stopped in its tracks on Friday as it tried for a ninth consecutive session of gains, a feat last achieved in 1996…

Source: The New York Times

Note, in the first article *(above)*, the use of the sports metaphor: the market has a "winning streak", it "screeches to a halt", it was "stopped in its tracks", the market actually "tried" and 'feats are achieved'. As if the stock market were an athlete, and we are engaged in it for the thrill of victory and the agony of defeat. Only the Olympic theme music is missing – but that's on the televised business reports, isn't it?

In this next article *(below)*, the market only "inched" and the rally was not "heady". There is also the assertion of a certain knowledge about which specific factor was responsible – that the 8 hundredths of one percentage point change in the Dow Jones industrial average on a given day was due specifically to the Greek government rescue. How do they know this? The Greek GDP, at about $342 billion, is less than one-fifth the size of California's GDP. How relevant was Greece that day, among the thousands of possible variables, to the 8 hundredths of one percentage point move, in the market? You see, by implication, everything is important, everything must be reacted to. How do they know it wasn't a development in California? Relative to Greece's $342 billion in GDP, ExxonMobil has a stock market value of $322 billion – maybe that was the reason. No, ExxonMobil was down about 50 basis points that day – maybe it really was Greece.

Dow Finishes Above 11,000

April 13, 2010, *4:36 am*

A few little points was all it took.

The Dow Jones industrial average inched above 11,000 on Monday — and, for the first time since the dark days of 2008, actually managed to stay there.

It was hardly a heady rally, The New York Times's Javier C. Hernandez reported. The Dow Jones industrial average rose 8.62 points Monday, a mere 0.08 percent, to close at 11,005.97. But that modest gain, driven largely by news Sunday of a long-awaited financial rescue for the debt-laden Greek government, was enough to help the market tick off yet another milestone in its long recovery.

Back to energy. I'll continue to borrow, for a time, from the daily newspapers, to complete the point. Following is an April 7th newspaper article about oil prices *(below)*. What does it tell us?

Crude Oil Below $86 as Supply Builds

Sung Moss & Melinda Peer

04/07/10 - 04:22 PM EDT

WASHINGTON (TheStreet) -- Crude oil futures finished Wednesday's session nearly a dollar lower as a bigger-than-expected build in crude inventories last week triggered concerns about weak demand. … Futures were down ahead of the report and remained depressed in the aftermath of the weak demand data. The May delivery crude contract lost 96 cents, or 1.1%, to settle at ***$85.88 a barrel***.

[A] senior market strategist … said the inventory report lacked any significant surprises and ***anticipated a price pullback*** after several days that have seen futures march higher. But he ***also expects the rally to continue***. … "We know demand is down, so we know there's plenty of oil in the market. But I think ***people are afraid of committing to the short side during this part of the year***."

…

Stocks spent most of the session in negative territory but weakened further after Kansas City Fed President Thomas Hoenig issued a strong warning that ***keeping interest rates low would encourage economic bubbles***.

Source: -- TheStreet.com

It tells us that:

- The price has fallen below a certain important level, in this case $86 per barrel is important, and 'supply is building', implicitly suggesting that excess supply is the causal agent, such that the price will fall further.

- A "senior" strategist – which informs us of someone with special knowledge – both anticipated a price pullback, yet also expects the rally to continue. He also said that investors should short, but are afraid to at this time of the year.

So far, the article's heading suggests a continued fall for implied causal reasons. This is supported by an expert who then asserts the opposite as well.

- We are then told that energy was the worst performing sector of the day, losing 1% to 2%. But we are also told that a senior Fed official warns of future economic bubbles, which means prices are still too low to be too high.

Confused? Perhaps time perspective can assist. Let's review articles about crude oil prices from the past as opposed the confusing present.

Here *(right)* is another article from this time of year, but three years ago. It indicates that given both better than expected economic growth AND tension about a major oil producer, oil prices rose above $66. This is suggesting a price above normal due to special circumstances. So $66 was high, not $86. As it turned out, oil prices rose virtually every single month for the balance of the year, finishing above $90.

March 30, 2007

Shares Rise Despite Concerns About Iran

By THE ASSOCIATED PRESS

Stocks ended higher in volatile trading yesterday as investors weighed fears about mounting tension involving Iran against a report that indicated better-than-expected economic growth.

The major indexes bounced around as crude prices surged to a six-month high. Investors remain nervous about the West's response to British sailors held captive in Iran, and oil prices crossed the $66 mark.

Source: The Associated Press

Now following are a matched set of three articles from a 3-week period just over one year ago:

- The first one, from March 10th *(below)*, describes how oil had risen sharply in recent weeks from $40 to $47, implying that the causative factor was a series of production cuts by OPEC.
- However, the article then cites analysts and economists who see oil at $20, perhaps for years, based upon weakness in the U.S. and China economies, which have "fallen off" and "stalled".

The New York Times
nytimes.com

March 10, 2009

Wondering if Crude Could Fall Even More

By JAD MOUAWAD

In recent weeks, as oil traded around $40 a barrel, the conventional wisdom among specialists was that the price decline that began last summer was largely over. …. Indeed, prices have been rising in the last three weeks as traders calculate that the [OPEC] cartel will announce another cut at a meeting this weekend in Vienna. Oil closed in New York trading on Monday at $47.07 a barrel, up $1.55 and well above the recent low of $33 a barrel in December.

…But a growing chorus of analysts and economists is questioning that notion.….they see troubling conditions in the oil market that could still push prices down sharply — and a global economy that is getting worse, not better. Some are predicting that oil could fall to $20 a barrel and stay low for years …. some economists, including Kenneth Rogoff of Harvard and Nouriel Roubini of New York University, say oil prices could keep declining in the short term. "The twin engines of growth were the U.S. and China; the U.S. has fallen off and China has stalled, to put it mildly," Mr. Roubini said. "In my scenario, oil will fall lower. I would not be surprised if oil even went to $20, if the recession is more severe."

Source: New York Times

In an article a couple of days later *(right)*, after the biggest rise in the stock market of the year, crude oil fell to $42.33 after oil inventories expanded more than expected. Now inventories are said to be the causative factor, and this was said to be a function of declining demand due to the deepening recession.

The New York Times
nytimes.com

March 12, 2009

Markets Cling to Gains From Day Before

By JACK HEALY

…Until now, nearly every day of gains this year had been followed by a day of losses as financial markets gyrated in response to the deepening recession, the stimulus package and Washington's plans to stabilize the banking system.…. Market specialists warned that it was far too soon to call a bottom to the wrenching declines in stock markets .….

Crude oil fell $3.38 a barrel, to settle at $42.33, after the Energy Department reported that crude stockpiles rose more than expected. Oil inventories have grown in recent months as demand for gasoline and petroleum products falls amid the deepening downturn.

Source: New York Times

Two weeks after that, following the new biggest stock market rise of the year, crude oil rose to $53.98, as a McKinsey Global Institute report warned of an oil price spike as soon as 2010 as the global economy recovers. This was tempered, though, by a final comment that the economy was still shrinking rapidly, with analysts referenced as saying that investors would pay close attention to corporate earnings for the first quarter – do they ever not?

The New York Times
nytimes.com

March 25, 2009

Wall Street Gives Back Some Gains

By JACK HEALY

Stocks ended lower Tuesday (S&P down 2.03%), giving back some of the gains they posted a day earlier in the biggest one-day rally in five months. … Banking shares, which rose 20 percent on Monday, retreated, and investors offered a more measured response to the Obama administration's plans to buy troubled assets from banks using a mix of public and private money. After hearing some details of the $500 billion plan, investors wondered whether it would work.…

Source: New York Times

So here we have the smallest sample of daily articles, and merely about oil prices. In the same article we are told they will go lower, but that they might go higher. In each article we are informed of the causative factors that will cause oil to go higher or lower, which should help us to determine a course of action – except that the critical causative factor changes with each article. It could be interest rates one day, or inventories the next, or Iranian tactical geopolitical machinations, or determinations of the OPEC cartel, or the collapsing economy, or an unexpectedly resurgent economy. This is what we are faced with as the general, baseline background every day, telling us what is important to think about with respect to oil prices.

So, I was asked about my perspective on energy. It hasn't changed in the last 90 days, other than we take note of the very interesting improvements in the capability to extract natural gas from shale deposits throughout the United States and Canada. This is certainly a development worth studying. That aside, our perspective hasn't had time to change. The presumption remains that over time the world will consume more petroleum, not less, and China and India are major expanding demand factors.

Accordingly, since there exist certain oil exploration companies that own long-lived reserves, on the scale of 50 to 100 years, and given that reserves of that duration are not usually incorporated into Wall Street fair value calculations, since analysts generally focus on near-term earnings, these companies are typically undervalued. Therefore, if we wish to have any investment in petroleum producers, we are inclined to own long-term reserves at low per-barrel costs. Ergo, the Imperial Oils and Gazproms and UTS Energies of the world that are found in our portfolios. There is not much that has happened during the past few months that has altered that assessment – which is not to say that our assessment cannot be altered.

I will make one short-term observation, although it is not the basis upon which one should make an investment decision. The oil sands companies appear to be now trading at prices that were associated with $66 oil prices, whereas oil prices are now $86.

Imperial Oil			Encana		
Date	Stock Price	Crude Oil Spot Price*	Date	Stock Price	Crude Oil Spot Price*
April 2010	**$41**	**$86**	**April 2010**	**$54****	**$86**
10/3/05	$36.98	62.26	9/23/05	$54.35	$65.59
8/9/06	40.20	73.04	9/5/06	53.48	63.80
12/11/06	38.73	61.96	11/29/06	52.72	58.32
5/5/07	42.80	63.45	4/12/07	53.85	63.98
8/31/07	41.64	72.36	11/4/08	53.00	57.31
Average:	**$40.07**	**$66.61**		**$53.48**	**$61.80**

*Cushing, OK WTI Spot Price, Monthly; source: U.S. Energy Information Administration
**Encana current price $31, adjusted for $23 spin-off of Cenovus 12/8/09.